Explain how a price floor on farm produce can protect small growers when harvest prices fall and input costs keep rising.

State the formula that links marginal revenue (MR), price (P) and elasticity of demand (e), and find MR when P = 40 and e = 2.

(i) What do you understand by consumer surplus and producer surplus? Illustrate both with demand and supply curves.
(ii) Two buyers (B1 and B2) and two firms (F1 and F2) trade a good Y.

Describe how the average variable cost curve and the marginal cost curve are related to each other.

By using the schedule, find the market clearing price and quantity and name the buyer and the firm that behave rationally. (Where, Py = price of good Y)

Py	B1	B2	F1	F2
80	1	3	7	2
70	2	3	6	2
60	3	3	5	2
50	4	3	4	2
40	5	3	3	2
30	6	3	2	2
20	7	3	1	2

End of the question paper. Please check that all pages are present before you leave the hall.

Section B. Attempt any one question from this section. Show every step of the working.

Section C. Attempt any one question from this section. Diagrams must be neat and labelled.

Section D. Attempt any one question from this section. Assume any missing data sensibly.